

RETAIL, RURAL: ONE ROOF

The bank has consolidated its retail and rural business groups under a unified structure. The combined retail and rural segment accounts for close to 60% of the loan book. “Income level matters more than location. For instance, a person earning ₹20 lakh a year behaves similarly in both urban and rural settings,” says Batra.

On the unsecured side, two

CORPORATE LOAN MIX

The bank’s domestic corporate book has shrunk from 23.45% to 20.4% over the last four years. The corporate portfolio now strictly includes companies with annual turnover above ₹7.5 billion. Is this because there are not enough opportunities, or because the bank does not want to take risks?

Experts say large, well-run corporations with strong balance sheets have multiple sources of

cash management, and supply chain finance, for businesses of all sizes.

DEPOSIT CHALLENGE

The bank’s current account and savings account (CASA) has stabilised around 38–40%. But ICICI Bank has the highest growth in CASA at 13.07%, almost double that of almost all large banks. Given the broader challenges in growing CASA, the bank expects this ratio to remain in the same range.

The bank attributes this stability to three factors. First, the steady expansion of its distribution network has widened access across geographies. Second, its digital platforms have emerged as strong acquisition and engagement tools, driving customer inflows and fund flows. Third, focused efforts in segments such as business banking have supported both loan growth and low-cost deposits.

SUCCESSION CHALLENGE

Bakhshi has been re-appointed as Managing Director and CEO for another two years, from October 4, 2026, to October 3, 2028, following RBI approval. While the RBI caps the total leadership tenure across roles in a bank at 15 years, his continuation is constrained by the RBI’s retirement age of 70 years. By October 2028, Bakhshi will have less than two years remaining before hitting the RBI’s age ceiling. That timeline makes it likely he will begin the succession process well in advance, ensuring a smooth transition and giving his successor adequate time to settle into the role before he steps down. Between January and December 2025, the stock has delivered single-digit returns of about 6%, clearly underperforming the BSE Bankex, which rose 18% during the same period. **BT**

BUSINESS MIX

- For the first time, the business banking book is closing the gap with the corporate banking book
- International banking downsizing continues

LOAN MIX	MARCH '21	MARCH '25
Retail	51.3%	52.4%
Rural	7.9%	5.7%
Business banking	12.3%	19.2%
Domestic corporate	23.4%	20.4%
International banking	5.1%	2.3%

SOURCE BANK PRESENTATION

products—personal loans and credit cards—make up about 14% of the loan book.

After its regular annual inspection, the Reserve Bank of India (RBI) asked the bank to set aside ₹1,283 crore as an additional buffer for a portion of its agricultural loans during the December quarter of FY26. The decision was taken not because borrowers stopped paying or because the loans went bad but because some loans did not fully meet the RBI’s technical rules to be counted under priority sector lending.

funding. The bank is active in transaction banking income—such as flows through current accounts—rather than focusing on loan growth per se. There is another lever that is bringing business. “Transaction banking is a large focus area for us, not just for corporates, but also for business banking. We were underinvested earlier; that is changing,” says Batra. Transaction banking focuses on making day-to-day financial operations simpler and more efficient for companies. Services include payments, collections, trade finance, foreign exchange,